Solution

(i) To write off the entire amount of existing goodwill

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2018	Sathish's capital A/c (4/7)	Dr.		20,000	
April 1	Sudhan's capital A/c (3/7)	Dr.		15,000	
	To Goodwill A/c				35,000
	(Existing goodwill written off)				

(ii) To write off ₹ 21,000 of the existing goodwill

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2018	Sathish's capital A/c (21,000 x 4/7)	Dr.		12,000	
April 1	Sudhan's capital A/c (21,000 x 3/7)	Dr.		9,000	
	To Goodwill A/c				21,000
	(Existing goodwill written off to the extent of ₹ 21,000)				



When goodwill is paid by the new partner to the old partners privately, no entry is made in the books of the partnership firm.

5.7 Adjustment of capital on the basis of new profit sharing ratio

Sometimes, it may be agreed by the partners that their capitals in the reconstituted firm be in the proportion of their new profit sharing ratio. There can be two situations.

The new partner may be required to bring proportionate capital for his share of profit. New partner's capital is calculated on the basis of the capital of the reconstituted firm or on the basis of combined capitals of the old partners for their share of profit.

The old partners may be required to make their capital in proportion to their new profit sharing ratio. Old partners' capital is calculated on the basis of the capital brought by the new partner for his share of profit. The deficiency or excess in the old partners' capital account may be adjusted through the current accounts or cash may be brought in or withdrawn by the partners.

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